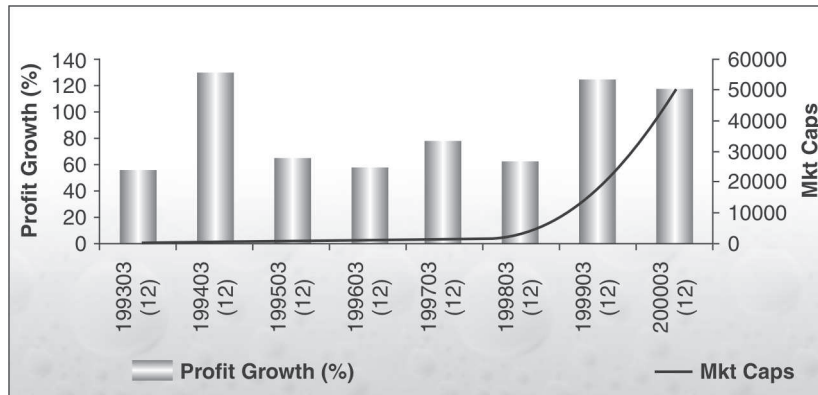


re-launched their drink “New Coke” in a sweeter avatar. This \$1 billion marketing exercise demonstrated that people drank Coke not for its taste but for the Americana image associated with it.

An example of how our brain works is the concept of pattern recognition. As children we learned language and mathematics through repetition. In fact almost everything we learn, we learn through repetition; in other words, through pattern recognition. Now this very concept that has helped us learn so much can be dangerous for us when investing. That is why we need to be aware about how it works.

Take this example. From 1993 the profits of the blue chip Infosys have grown above 50 per cent. Post 1998 the company grew at 100 per cent and the market consensus was that it would continue to grow at the same rate in the future. Hence every market participant believed that Infosys was the stock of the century and started chasing it. Thus the stock price ran up beyond the profit growth. See Fig. 8.3 below.

FIGURE 8.3



Note: Mkt cap calculated on monthly average stock prices

Infosys Profit Growth 1993–2000